Credit Update

22 Nov 2023

TVS Electronics Limited

Particulars:

Facility**	Amount (Rs Crs)		Tenure	Rating#
	Previous	Present		
Fund Based	46.00	**46.00**	Long Term	**BWR A/Stable**
	(4.50)	**(4.50)**		
	(10.00)	**(10.00)**		
Non Fund Based	21.00	**21.00**	Short Term	**BWR A1**
	(10.00)	**(10.00)**		
	(6.00)	**(6.00)**		
Total	67.00	**67.00**	**Rupees Sixty Seven Crores Only**	

#Please refer to BWR website **www.brickworkratings.com**/ for the definition of the ratings;
**Details of bank facilities are provided in Annexure-I

Material Event:

On 11 November 2023, TVS Electronics Limited(TVSE or the company or the "Transferee Company") announced that its Board of Directors had considered and approved the Composite Scheme of Arrangement providing for the merger of TVS Investments Private Limited (TVSI or the "Transferor Company"), its holding company, into TVSE. The amalgamation is expected to be concluded over the next 9-12 months, subject to receipt of necessary regulatory approval/consents and completion of certain conditions precedent therein.

Impact of Material event:

TVSE, the Transferee Company, is a subsidiary of TVSI, the Transferor Company, which holds a stake of 59.84% in TVSE as on 30 Sep 2023. BWR takes note that the Scheme of Amalgamation is expected to result in the promoters of TVSI directly holding shares in TVSE, which would not only lead to simplification of the shareholding structure and reduction of shareholding tiers but also demonstrate the promoter group's direct commitment to and engagement with TVSE. The Scheme of Amalgamation thus envisages consolidation and simplification of the group structure and reduction of administrative costs and legal and regulatory compliances at the group level. Removal of TVSI as a holding Company of TVSE is likely to provide greater flexibility to the Company to make down-stream investment. As per the announcement, the Amalgamation will enable greater focus of the management on the business and facilitate in creating enhanced value for TVSE's shareholders and allow a focused strategy in operations, which would be in the interest of all its shareholders, creditors, and stakeholders.

The proposed Scheme does not affect the rights of the creditors of the Transferor Company or the Transferee Company.

BWR notes that no cash outflow is involved in this process and the amalgamation is unlikely to have any material impact on TVSE's financials or day-to-day operations. There is no material change expected in TVSE's shareholding as well (59.91% promoter & promoter group stake pre-amalgamation vs 59.77% post-amalgamation). Accordingly, the amalgamation exercise is credit-neutral from TVSE's perspective. The ratings remain unchanged at BWR A/ Stable/ A1.

Please refer to the following link for the previous detailed rationale: **Rating Rationale.**

Liquidity position: Adequate

The company's liquidity position is considered adequate as the EBITDA adequately covers finance costs, and the availability of sufficient net accruals to cover the minimal debt obligations. The EBITDA stood at Rs 19.79 Crs in FY23 which was sufficient to cover the interest cost of Rs 1.37 Crs. The EBITDA stood adequately at Rs 6.40 Crs during H1FY24 which adequately covers the finance cost of Rs 0.79 Crs in H1FY24. The company has adequate net cash accrual of Rs 16.51 Crs as on 31 Mar 2023 and Rs 35.92 Crs as on 31 Mar 2024(Proj) to cover the debt obligations of Rs 2.82 Crs in FY24 and Rs 5.64 Crs in FY25 respectively. The company's cash and cash equivalent position along liquid investments as on date 30 Sep 2023 stood at Rs ~30 Crs, which includes Rs 24 Crs worth of investment. The average utilization of working capital limits has remained low over the past six months as confirmed by the bankers. The current ratio has been adequate at 1.41 times as on 31Mar2023 and 1.60 times as on 30 Sep 2023.

About the Company:

Macro Economic Indicator	Sector	Industry	Basic Industry
Information Technology	Information Technology	IT - Services	IT Enabled Services

TVS Electronics Limited, Chennai, founded in 1986 as an IT peripheral manufacturer, is currently a leading transaction automation IT product manufacturer and service provider. TVSE has its production/repair facilities presently at Tumkur (Karnataka). The company is listed on the BSE and NSE. TVSE's business consists of two revenue segments, viz., (a) Products and Solutions and (b) Customer Support Services. The products cater to seven broad sectors, viz., Retail – SME, Government, BFSI, Hospitality, Healthcare, E-commerce and Transport, Large Format Retail (LFR) Stores and Quick Service Restaurants (QSRs). Currently, the company operates through 40 centres and caters to over 25 brand partners covering more than 19250 pin codes across India with a service footprint across 490 districts for onsite services and retail network for customer walk-in services through 345 centres. Mr. Gopal Srinivasan is the company's Chairman, and Mrs.Srilalitha Gopal is the managing director.

KEY FINANCIAL INDICATORS (Standalone)

Key Parameters	Units	FY 21 - 22 (Audited)	FY 22 - 23 (Audited)	FY 23 - 24 (Unaudited - H1)
Operating Revenue	Rs. Crs.	307.92	353.49	182.00
EBITDA	Rs. Crs.	26.61	19.79	6.40
PAT	Rs. Crs.	15.1	9.52	1.44
Tangible Net Worth	Rs. Crs.	78.7	87.27	80.41
Total Debt / Tangible Net Worth	Times	0.05	0.11	0.14
Current Ratio	Times	1.39	1.41	1.60

Complexity Levels of the Instruments: Simple
For more information, visit **www.brickworkratings.com/download/ComplexityLevels.pdf**

Hyperlink/Reference to applicable Criteria:
General Criteria
Approach to Financial Ratios
Manufacturing Companies
Short Term Debt

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TVS Electronics Limited

Annexure I: Details of the bank facilities rated by BWR

Sl. No.	Name of the Bank	Type of Facilities	Long Term (Rs. Crs)	Short Term (Rs. Crs)	Total (Rs. Crs)
1	IDFC First Bank	Cash Credit-Sanctioned	15.00	-	15.00
		ILC/FLC/BG-Sanctioned	-	20.00	20.00
2	RBL Bank	Cash Credit-Sanctioned	10.00	-	10.00
		BG/LC-Sub limit of FB	-	(10.00)	(10.00)
		CEL-Sanctioned	-	1.00	1.00
3	Axis Bank	Cash Credit-Sanctioned	6.00	-	6.00
		Term Loan-Sanctioned	15.00	-	15.00
		BG/LC-Sub limit of FB	-	(10.50)	(10.50)
Total - Rupees Seventy Seven Crores Only			**46.00**	**21.00**	**67.00**

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